

Aren't we finished? Yes and no. On one hand, any of the solutions already presented are reasonable approaches to managing a portfolio. This includes the simple 60/40 portfolio, the slightly more complex Ivy 5 portfolio, and the sophisticated, yet simple, DIY solution just presented. But we can make our DIY solution even better.

So far we have not applied simple, evidence-based active techniques to three asset classes: bonds, real estate (REITs), and commodities. For our bond exposure, we use the US 10-year Treasury index. This is one exposure where getting “cutesy” can get you in trouble. While there are certainly some sophisticated bond strategies that can increase returns, we are going to keep this exposure simple. Good, old-fashioned US Treasury bonds—or whatever asset one believes to be the global flight-to-quality asset—serve as a unique insurance-like asset for a portfolio. We consider the US Treasury bond to be “insurance-like” based on evidence, not conjecture. Consider the results in [Table 9.9](#), which show the top 20 drawdowns of the S&P 500 from January 1, 1927, until December 31, 2014. We map the performance of the 10-year Treasury index (LTR) over the same period as the S&P 500 drawdown. In addition to providing a real return, plus an expected inflation return, the US Treasury bond serves as a quasi-insurance policy: When stock markets blow up, US long bonds do well, on average. We know of no other asset class, besides managed futures strategies—which are expensive, complex, and beyond the capability of a DIY investor—that provide this type of performance during market-wide meltdowns. The US Treasury bond may be a tough sell during low nominal interest environments, but the proof is in the pudding: When the world turns upside down, investors come clamoring for safety. We recommend the DIY investor keep this exposure simple and to the point.